# Loan Facility Information Sheet about this interest only mortgage

This document was produced for Tamar Bat Sheva Marash on 20 October 2017.

This document was produced on the basis of the information that you have provided so far and on the current financial market conditions.

The information below remains valid until **27 October 2017**. After that date, it may change in line with market conditions.

This document does not constitute an obligation for **HSBC Private Bank (UK) Limited** to grant you a loan.

## 1. Lender

HSBC Private Bank (UK) Limited

Telephone: +44 (0)20 7860 5000

Address: 78 St James's Street, London, SW1A 1JB, United Kingdom

E-mail address: Anand2.Sharma@hsbcpb.com

Web address: http://www.hsbcprivatebank.com

Contact person/point: Anand Sharma

We recommend, having assessed your needs and circumstances, that you take out this mortgage.

## 2. Main features of the loan

Amount and currency of the loan to be granted: GBP 1,300,000.00

This loan is not in USD.

The value of your loan in USD could change.

For example, if the value of USD fell by 20% relative to GBP, the value of your loan would increase to USD 2,135,250.00. However, it could be more than this if the value of USD falls by more than 20%.

You will receive a warning if the credit amount reaches USD 2,135,250.00

**Please note that this mortgage is classified as a *"foreign currency loan facility"* because it is denominated in a currency that differs from the currency of the income and/or assets which you are using to make regular payments under the mortgage.**

**Therefore fluctuations in currency exchange rates may make it significantly more difficult for you to afford your regular payments under this mortgage and/or repay the outstanding balance when this mortgage comes to an end.**

**Examples of how foreign currency loan facilities may be affected by currency fluctuations are included within the *"Foreign Currency Loan Facility – Pre Sale Warning"* booklet, which has been provided to you with this Information Sheet.**

**You should ensure that you fully understand the implications of entering into a foreign currency loan facility and the effect any fluctuation in the exchange rate would have on your ability to make your**

**regular payments and/or to repay the balance outstanding when the mortgage comes to an end. If you are unclear about any aspect of this mortgage or how your interest payments and/or capital repayments may be affected, please contact your Relationship Manager who will be able to provide you with more information.**

Duration of the loan: 5 years from the date that the mortgage is drawn down for the first time.

This is a variable rate interest only mortgage. The variable interest rate is set by reference to our GBP base rate plus the margin referred to in Section 3 "Interest rate and other costs" below. The variable interest rate tracks our GBP base rate. If our GBP base rate is below zero, our base rate for GBP will be deemed to be zero.

Our base rate for Pounds Sterling is the rate published from time to time by HSBC Bank plc as its Pounds Sterling base rate.

Total amount to be repaid: GBP 1,442,085.00. This means that you will pay back GBP 1.11 for every GBP 1.00 borrowed.

**This amount is illustrative and may vary, in particular as a result of variations in the interest rate.**

Value of the property assumed to prepare this Information Sheet: GBP 2,050,000.00

Minimum value of the security required to borrow the illustrated amount GBP 2,050,000.00

The mortgage will be secured on:

- your principal residence 41 Middleway, Hampstead Garden Suburb, London NW11 6SH

**This is an interest-only loan. You will still owe GBP 1,300,000.00 at the end of the mortgage term.**

## 3. Interest rate and other costs

The annual percentage rate of charge (APRC) is the total cost of the loan expressed as an annual percentage. The APRC is provided to help you to compare different offers.

The APRC applicable to your loan is 2.21%.

It comprises:

Interest rate:

1.80% per annum (the "margin") above our GBP base rate for the duration of the mortgage. The current GBP base rate is 0.25% per annum. This gives a current payable rate of 2.05% per annum.

Costs to be paid on a one-off basis:

*Costs Payable to HSBC Private Bank (UK) Limited*

Arrangement Fee: GBP 6,500.00 payable when you sign and return the Acceptance Form in the facility letter.

Security Fee: GBP 145.00 payable after you sign any security agreement relating to the mortgage.

*Costs payable to others*

Valuation/Survey Fee: GBP 2,190.00 (Inclusive of VAT) payable to the nominated valuer on receipt of the report.

Costs to be paid regularly and included in the instalments

None

Costs to be paid regularly but not included in the instalments

None

The following costs are not known to the lender and are therefore not included in the APRC:

None

This APRC is calculated using assumptions regarding the interest rate. Because your loan is a variable interest rate loan, the actual APRC could be different from this APRC if the interest rate for your loan changes. For example, if the interest rate rose to 9.30%, the APRC could increase to 9.82%.

Please make sure that you are aware of all other taxes and costs associated with your loan.

## 4. Frequency and number of payments

Repayment frequency: Quarterly

Number of payments: 20



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Registered Office: 8 Canada Square, London E14 5HQ, UK.
Authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority.

## 5. Amount of each instalment

GBP 6,662.50

**Your income may change. Please consider whether you will still be able to afford your quarterly repayment instalments if your income falls.**

The interest rate on this loan can change. This means the amount of your instalments could increase or decrease. For example, if the interest rate rose to 9.30% your payments could increase to GBP 30,225.00.

**Because this is an interest-only loan you will need to make separate arrangements to repay the GBP 1,300,000.00 you will owe at the end of the mortgage term. Remember to add any extra payments you will need to make to the instalment amount shown here.**

## 6. Illustrative repayment table

This table shows the amount to be paid every quarter.

The instalments (column 2) are the sum of interest to be paid (column 3), and capital paid (column 4).

Outstanding capital (column 5) is the amount of the loan that remains to be repaid after each instalment.

| Repayment schedule | Amount of Instalment(GBP) | Interest to be paid per instalment(GBP) | Capital per instalment(GBP) | Outstanding capital after each instalment(GBP) |
|---|---|---|---|---|
| Period 1 | 6,662.50 | 6,662.50 | 0.00 | 1,300,000.00 |
| Period 2 | 6,662.50 | 6,662.50 | 0.00 | 1,300,000.00 |
| Period 3 | 6,662.50 | 6,662.50 | 0.00 | 1,300,000.00 |
| Period 4 | 6,662.50 | 6,662.50 | 0.00 | 1,300,000.00 |
| **Year 1 subtotal** | **26,650.00** | **26,650.00** | **0.00** | **1,300,000.00** |
| Year 2 subtotal | 26,650.00 | 26,650.00 | 0.00 | 1,300,000.00 |
| Year 3 subtotal | 26,650.00 | 26,650.00 | 0.00 | 1,300,000.00 |
| Year 4 subtotal | 26,650.00 | 26,650.00 | 0.00 | 1,300,000.00 |
| Year 5 subtotal | 1,326,650.00 | 26,650.00 | 1,300,000.00 | 0.00 |
| **Total instalment** | **1,433,250.00** | | | |

## 7. Additional obligations

The borrower must comply with the following obligations in order to benefit from the lending conditions described in this document.

You must keep the property in good condition and must take out appropriate buildings insurance upon or prior to the commencement of the mortgage. You must maintain the insurance for the duration of the mortgage: However, you are not obliged to buy this insurance from us.



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